Ireland, Brazil, Hong Kong and the UK.

Foreign Investment Regime is Anchored in FEMA (Non-Debt Instruments) Rules, 2019

India does not have capital account convertibility and FDI inflows and outflows are capital account transactions. FDI inflows are governed by the Foreign Exchange Management (Non-Debt Instruments) Rules, 2019, notified by the Department of Economic Affairs, Ministry of Finance, in the exercise of powers conferred by the amendment in the Foreign Exchange Management Act (FEMA) in 2015.

DPIIT is entrusted with FDI policy and notifies changes in the policy by way of press notes. The policy is updated and consolidated annually into a Master Circular. The latest FDI Circular was issued on 15 October 2020.

FDI Policy, contained in the Master Circular, now operates within the limits of the capital account convertibility permitted by the Foreign Exchange Management (Non-Debt Instruments) Rules 2019.

FPIs are investments made by non-residents to buy shares of Indian companies for returns in the form of dividends and capital gains. The investors do not seek to participate in the management of the company; they make their money by buying and selling shares or derivatives thereof.

FPIs are also capital account transactions like FDI. They have to be specifically permitted by the government or RBI, as per the authority conferred by FEMA.

After the amendment in FEMA in 2015, the authority to frame regulations for the portfolio lies with the Government of India, which is required to be exercised in consultation with RBI. Before the amendment, the authority to regulate portfolio investment was bestowed on RBI. The amendment divided the authority to regulate capital account transactions between the government and RBI. The government was given the authority